

SUMMARY AND RECOMMENDATIONS

♦ Key Insights by Payment Method

1. Electronic Check

- Churned: **1071 (45.3%)**
- Retained: **1294 (54.7%)**
- 📌 *This method has the highest churn rate compared to others. Customers using electronic checks are almost equally likely to churn or stay, showing it is a high-risk group.*

2. Mailed Check

- Churned: **308 (19.1%)**
- Retained: **1304 (80.9%)**
- 📌 *Much lower churn rate than electronic checks, suggesting more stability among mailed check users.*

3. Bank Transfer (Automatic)

- Churned: **258 (16.7%)**
- Retained: **1286 (83.3%)**
- 📌 *Automatic payments via bank transfer significantly reduce churn, making this one of the safest groups.*

4. Credit Card (Automatic)

- Churned: **232 (15.2%)**
- Retained: **1290 (84.8%)**
- 📌 *Lowest churn rate of all methods. Customers using automatic credit card payments are the most loyal.*

◆ Recommendations

1. Promote Automatic Payment Options

- Encourage customers to switch to **Credit Card Auto-pay** or **Bank Transfer Auto-pay**, since they show the **lowest churn (~15–17%)**.
- Offer incentives like **discounts, reward points, or free add-ons** for switching.

2. Target Electronic Check Customers

- Since **45% of them churn**, identify and **segment this high-risk group**.
- Use proactive retention strategies: **personalized offers, reminders, or flexible billing plans**.

3. Customer Education & Awareness

- Educate customers about the **convenience and security of automatic payments** compared to manual/electronic checks.
- Use **email campaigns or in-app notifications**.

4. Retention Programs

- Launch special **loyalty or retention programs** for mailed/electronic check users.
- Example: “Switch to Auto-pay and get 1 month free” or “Save 5% on your monthly bill with auto-pay.”

5. Monitor Payment Method Churn Regularly

- Set up **dashboards/KPIs** to continuously monitor churn trends by payment type.
- This helps track if the shift towards auto-pay is working.

Main takeaway:

Shifting customers from **Electronic Checks (high churn)** to **Automatic Payments (low churn)** could **cut churn almost in half**, improving customer lifetime value.

